

18 August 2026

JULY CPI PREVIEW

Weaker pass-through has lead to a downward revision

Key points

- We expect the July CPI to rise 0.84%*mth*, taking the annual pace down a peg to 3.3%*yr* from 3.8%*yr* in May. On a seasonally adjusted basis, we expect a 0.4%*mth* increase.
- The July Trimmed Mean is forecast to lift 0.38%*mth*, on par with the average for the previous three months, taking the annual pace down a touch to 3.5%*yr* while the six-month annualised pace lifts a touch to 3.7%*%yr*.
- Holiday travel and auto fuel are the key drivers of the stronger monthly outcome, reflecting higher holiday travel cost and the partial unwinding of the temporary fuel excise cuts. The main offset is a drop in the DMO electricity prices.
- For the September quarter we revised our CPI estimate down to 1.1%*qtr* from 1.3%*qtr* while the Trimmed Mean is now expected to print 0.8%*qtr* vs. 1.0%*qtr*. The softer than expected momentum in the June quarter is expected to continue into the September quarter.

Breakdown: Q3 Quarterly & July Monthly CPI

	Q3	May	Jun	Jul
	Qtr fcs	Mth	Mth	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	1.0	0.6	0.4	0.4
of which, bread & cereals	0.9	0.2	0.7	0.0
of which, meat & seafood	0.7	1.1	-0.3	0.2
of which, dairy & related prod.	1.8	2.3	1.3	-0.1
of which, fruit & vegetables	0.8	1.1	1.0	0.6
of which, food products nec	0.4	-0.9	-0.2	0.6
of which, non-alcohol bev.	0.5	1.5	1.0	-0.3
Alcohol & tobacco	1.0	0.9	-0.5	0.4
of which, alcohol	0.7	1.3	-0.7	0.4
of which, tobacco	1.6	-0.1	0.0	0.3
Clothing & footwear	0.4	-2.9	-1.0	2.0
of which, garments	-0.6	-3.3	-3.1	2.6
Housing	1.3	0.5	0.5	0.3
of which, rents	0.9	0.4	0.3	0.3
of which, house purchases	1.3	0.9	0.4	0.4
of which, electricity	-3.6	0.9	0.7	-4.4
of which, gas & other fuels	6.8	-3.1	2.7	5.5
H/hold contents & services	1.0	0.3	-4.2	1.4
Health	-0.3	-0.5	-0.1	0.1
Transportation	1.6	-3.9	-2.7	1.9
of which, auto fuel	2.0	-11.9	-10.9	5.1
Communication	1.2	0.2	-0.7	1.5
Recreation	1.8	-3.1	1.8	1.9
of which, holiday travel	3.0	-6.9	4.6	3.2
Education	0.1	0.0	0.0	0.0
Financial & insurance services	0.8	0.2	0.5	0.2
CPI: All groups	1.1	-0.7	-0.1	0.8
CPI: Trimmed mean	0.8	0.4	0.3	0.4

Sources: ABS, Westpac Banking Corporation

All eyes on market services

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Neha Sharma, Economist

July set to be a touch stronger

The June Monthly CPI was [much better than feared](#). The headline CPI printed -0.1mth , below both our forecast and market expectations of 0.4mth and 0.2mth , respectively. The TM rose 0.3mth and 3.6yr , also slightly softer than our forecast of 0.4mth and 3.7yr . The main driver of the decline was automotive fuel, which fell 10.9mth subtracting 0.4ppts from the CPI. Other sources of weakness were clothing & footwear, household furnishings, and audio, visual and computing equipment which saw the usual end-of-financial-year discounting.

The expected increase in holiday travel was there. However, the 4.6mth increase reflected a seasonal increase in international travel of 8.0mth but the 1.3% increase in domestic travel was much softer than the usual seasonal rise so the offset was not as large as it could have been. Also helping to offset the softer data flow was a 12.7mth rise in urban transport fares as the cost of living public transport fare reductions were unwound.

In the second half of July there was an increase in Middle East tensions with the breakdown in the US-Iran MoU. Brent briefly spiked above US\$100/bbl and the [July business survey](#) had product price growth nearly doubling to 1.1qtr , suggesting firms are rebuilding margins. While this is still below the April 1.8qtr peak, recorded at the height of the Middle East conflict, it's still well above the long-run average ($+0.6\text{ppt}$). Meanwhile, input costs continue to ramp up. Labour cost growth accelerated, rising 0.5ppt to 2.2qtr , the strongest outcome since May 2024 and 1.0ppt above its long-run average, most likely reflecting the impact of the 4.75% increase in award/minimum wages. Overall, businesses' purchase cost growth increased 0.2ppt to 2.3qtr holding 1.1ppt above its long-run average.

Meanwhile, consumer's year-ahead inflation expectations moderated in May and June on the back of the fuel excise being cut by 32c/l , halving the excise. From July 1, 16 cents in excise was added back with the final 16 cents added back on August 3. This boost to retail prices, plus the firming in Brent around US\$80/bbl, has seen retail auto fuel prices rise through July and these gains continued into August. As such, we would expect to see consumer inflationary expectation to lift again through these months.

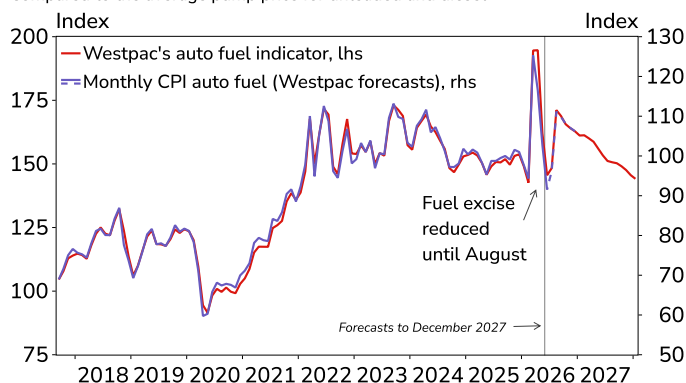
Breakdown Monthly CPI Indicator

	Apr	May	Jun	Jul
	Mth	Mth	Mth	Mth fcs
Item	%yr	%yr	%yr	%yr
Food	2.8	3.3	3.3	3.3
of which, bread & cereals	0.7	1.5	2.3	1.7
of which, meat & seafood	5.0	5.4	5.4	5.5
of which, dairy prod.	2.3	5.2	6.3	6.3
of which, fruit & vegetables	0.1	2.0	0.7	0.6
of which, food products	2.2	1.6	1.3	1.5
of which, non-alcohol bev.	2.0	1.5	2.0	1.7
Alcohol & tobacco	4.3	4.7	4.4	3.7
of which, alcohol	1.6	2.2	1.6	1.1
of which, tobacco	10.7	10.9	11.2	10.1
Clothing & footwear	5.9	5.0	4.9	4.4
of which, garments	3.1	2.1	1.5	1.4
Housing	6.3	6.5	6.8	4.9
of which, rents	3.5	3.6	3.6	3.5
of which, house purchases	4.7	5.6	5.8	5.7
of which, electricity	22.5	21.1	22.4	3.1
of which, gas & other fuels	5.7	4.9	7.2	6.4
H/hold contents & services	1.2	1.7	1.6	1.0
Health	4.0	3.8	3.7	3.7
Transportation	6.6	3.3	0.1	0.9
of which, auto fuel	18.6	7.7	-7.3	-2.6
Communication	1.5	2.1	2.2	2.2
Recreation	2.5	2.4	3.3	2.7
of which, holiday travel	1.7	1.9	4.0	2.5
Education	4.8	4.8	4.8	4.8
Financial & insurance	3.0	3.2	3.2	3.2
CPI: All groups	4.2	4.0	3.8	3.3
CPI: Trimmed mean	3.4	3.6	3.6	3.5

Sources: ABS, Westpac Banking Corporation

CPI Auto fuel prices

Compared to the average pump price for unleaded and diesel



Source: ABS, Macrobond, Westpac Economics

Rising fuel prices boost July but core modest

We expect the July monthly CPI to rise 0.8%*mt* with the annual pace easing back to 3.3%*yr* from 3.8%*yr* while our seasonally adjusted estimate gains 0.4%*mt*/3.2%*yr*. We estimate the monthly TM inflation to also rise 0.4%*mt*, taking the annual pace to 3.5%*yr* from 3.6%*yr* in June. Market services excluding volatiles and holiday travel is expected to rise 0.5%*mt* and 3.7%*yr*, largely reflecting the minimum wage decision coming into effect from 1 July.

The largest contributors to the monthly print are transport (0.21*ppt*) due to a solid gain in auto fuel (0.17*ppt*) while recreation lifts (0.25*ppt*) with solid gains in holiday travel & accommodation (0.22*ppt*) to which the seasonal gains in household furnishing & equipment (0.11*ppt*) are added into the mix. For July we don't see any significant offsetting negatives.

Key details for July

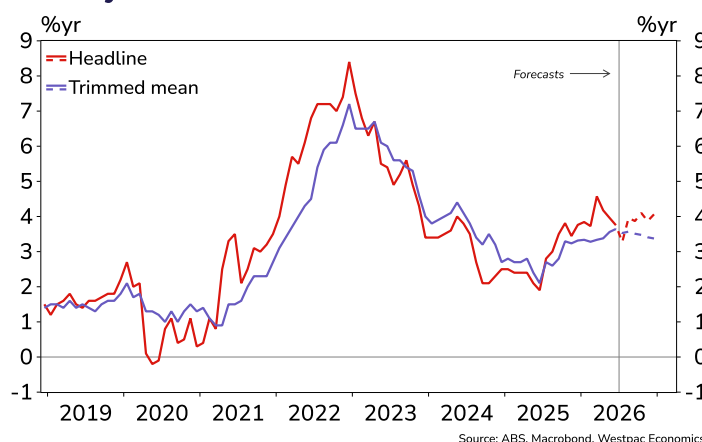
Food & non-alcoholic beverages are expected to rise 0.4%*mt* and 3.3%*yr*, largely due to a 0.5%*mt* rise in meals out & takeaway – at 4.2%*yr* this is the highest in the monthly series' history. As noted in our [Market Outlook](#), the impact of El Niño on commodity prices is uneven, but key areas of exposure for Australia is in wheat and livestock which is expected to place upward pressure on meat, dairy, and bread & cereal prices. We are also monitoring the spread of bird flu. To date, there have been no detections in commercial poultry.

Housing is expected to rise 0.3%*mt* in July, taking annual inflation to 4.9%*yr*. Key components include:

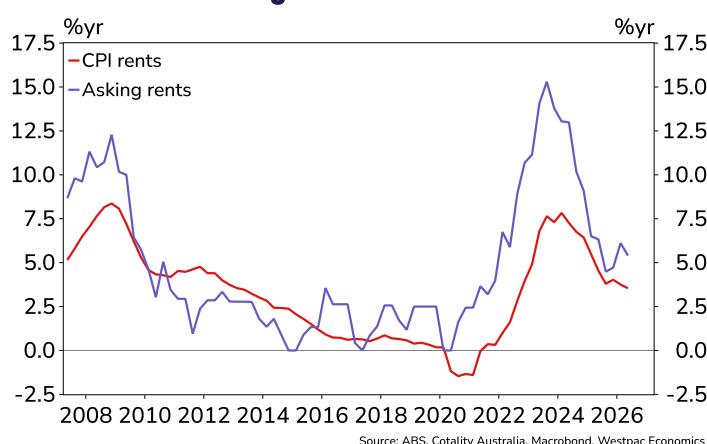
- Rents are expected to rise 0.3%*mt* and 3.5%*yr*. We continue to expect a modest firming in CPI rents into year-end given the divergence with asking rents, although this appears to have peaked and is gradually easing.
- New dwelling prices are expected to rise 0.4%*mt* and 5.7%*yr*. While we believe annual new dwelling inflation has peaked, the pace of moderation is likely to be gradual, easing to around 5.5%*yr* in Q3 and 5.1%*yr* by year-end as capacity constraints persist across the sector. Tradelink price change notifications continue to slow but remain above average, while residential construction producer prices are running at their highest pace since late-2023.
- Electricity prices are expected to fall 4.4%*mt*, leaving annual inflation at 3.1%*yr*. The decline reflects new annual market offers coming into effect, with final determinations indicating lower prices across most states. Annual price changes for water & sewerage and gas are expected to offset this decline.

Transport is expected to rise 2.1%*mt* and 1.1%*yr* owing to a 5.1%*mt* rise in automotive fuel. Insurance is expected to rise 0.8%*mt* following an unexpected 0.3%*mt* decline in June. Meanwhile, holiday travel is expected to rise 3.2%*mt*/2.5%*yr*.

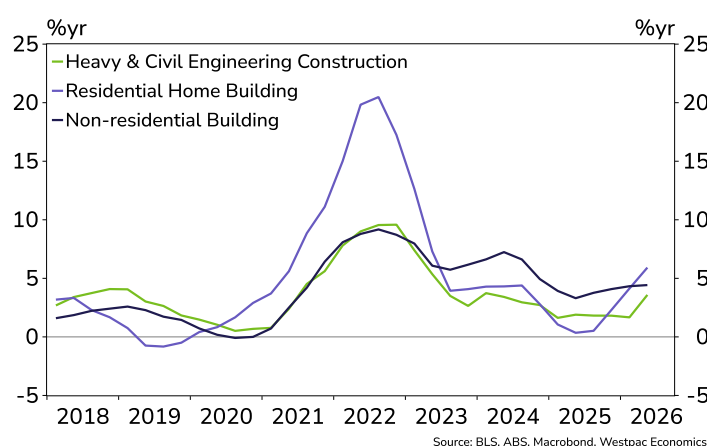
Monthly: Headline and Trimmed Mean Inflation



CPI Rents and Asking Rents Growth



Australian Construction Inflation



Risks to July baseline

We view risks around the July outcome as broadly balanced. On the upside, domestic market services inflation may prove stronger than we have accounted for given the larger-than-expected minimum wage decision amid existing pressures for businesses including from retail rents and utilities. While the pass-through from higher energy costs appears to have tapered off, some freight-related cost pressures may still be working their way through supply chains. Food is the most freight-intensive category, with fruit & vegetables among the most exposed.

This is offset by softer demand conditions and declining house prices limiting developers' pricing power, resulting in softer-than-expected new dwellings inflation. Additionally, insurance remains a key uncertainty and could undershoot again despite the continued strength in repair and maintenance costs.

Oil prices to ease through H2 2026

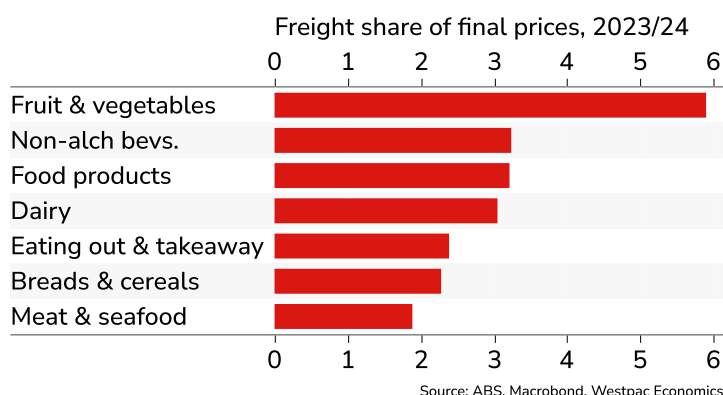
We have revised down our oil price forecasts for late-2026 and early-2027, reflecting our view that the peak in oil prices has already occurred. We lowered the profile by US\$3/bbl in both Q4 2026 and Q1 2027, which now average US\$81/bbl and US\$80/bbl respectively. While we continue to expect some strength through the second half of 2026, we now see less justification for a renewed rise above recent highs. This assessment is also consistent with recent reports suggesting the US administration is placing greater emphasis on economic sanctions and maritime pressure on Iran rather than direct military escalation, reducing the likelihood of a material re-tightening in global oil markets. The remainder of the profile is unchanged.

Model suggests a disinflationary trend to 2027

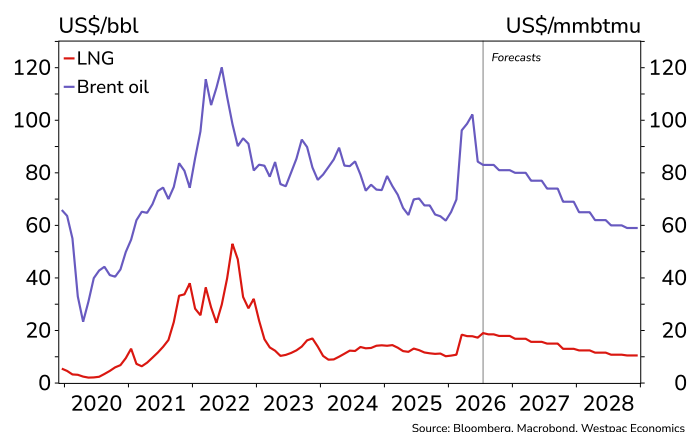
The chart on the right shows the central estimate from a range of modelling and forecasting approaches (including our bottom-up measure). These suggest that trimmed mean inflation will continue to moderate over the next few years, provided the broader economic outlook evolves broadly as expected. Under these conditions, all estimates have trimmed mean inflation within the RBA's target band by end-2027 and all but one see it moving below the mid-point of the target band by end-2028. For Q3 2026, the outcomes range between 3.4-3.5%yr, stretching out to 2.4-2.9%yr by end-2027 and 2.2-2.5%yr by end-28.

It is worth cautioning that these represent central outcomes only. Forecast uncertainty remains high, particularly over longer horizons, and the confidence bands around these estimates are wide. As such, there are plausible cases where disinflation could prove more rapid (e.g. more pronounced weakness in the labour market), or alternatively, underlying price pressures are more persistent (e.g. further supply shocks).

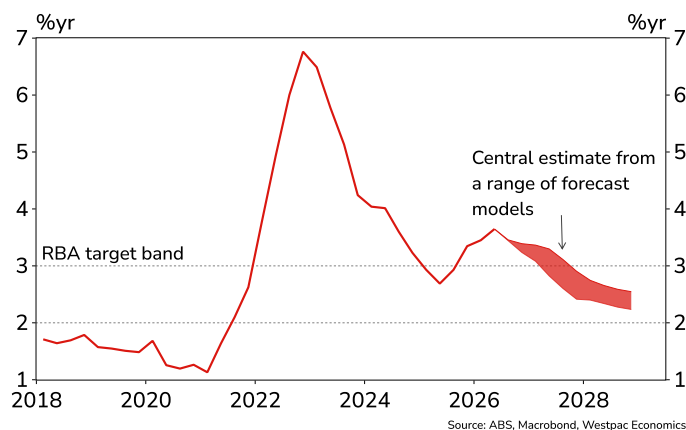
Food and Beverages Freight Exposure



Oil and LNG forecasts



Trimmed Mean Inflation Paths



Quarterly CPI profile has been revised down...

We released updated forecasts in our latest *Market Outlook* on August 14 ([see here](#)). This is a softer profile than what we expected back in July and broadly in line with the RBA's updated profile in the August SoMP.

Westpac estimates that the Q3 CPI will lift by 1.1%qtr taking the annual pace to 3.7%yr from 3.9%yr in Q2. This represents a 0.2ppt revision to our previous estimate of 1.3%qtr. With a Q4 estimate of 0.8%qtr for Q4, revised from 1.0%qtr, we now have a year end CPI inflation forecast of 3.9%yr, this is down from our previous estimate of 4.3%yr but still a touch stronger than the latest RBA estimate of 3.6%yr.

The seasonally adjusted CPI is estimated to increase 0.9% in Q3 and Q4 highlighting that some of the strength seen in Q3 is usual seasonality which is reversed in Q4.

Key to this softer profile is the revision to our Brent profile which is down by US\$3/bbl in both Q4 2026 and Q1 2027 for an average of US\$81/bbl and US\$80/bbl respectively. Along with a reduction in refining margins auto fuel is set to be a meaningfully less inflationary influence than we first thought.

In Q3 the most significant contribution comes from housing at 0.28ppt but with the inflationary pressure from dwelling purchases not being as strong as expected, now 1.3%qtr in Q3 and 0.9%qtr in Q4, this explains part of our downward revisions to both headline and core inflation estimates. We are expecting housing inflationary pressure to continue to moderate into the first half of 2027.

Recreation will also provide a boost in Q3 (0.22ppt) with a stronger than usual seasonal rise in international travel & accommodation (7.5%qtr) as Australian travel costs catch up to price increases reported by OECD countries. However, there should be a partial seasonal reversal through the first half of 2027.

Food is also set to make a robust contribution (1.0%qtr, 0.17ppt) in Q3 and while this series can be somewhat volatile due to the peaks and troughs of fresh fruit & vegetable pricing, we will be watching this series more closely than usual as the larger than usual El Niño formation presents a significant

upside risk here, most likely in 2027 but could start to appear in late-2026.

...while revisions to core inflation more marginal.

Westpac estimate a 0.8%qtr increase in the Q3 trimmed mean easing the annual pace by 0.1ppt to 3.5%yr. Our earlier estimate was for a 1.0% increase in Q3 which, with rounding, held the annual pace flat at 3.6%yr. For end-2026 we now estimate trimmed mean inflation to come in at a 3.3%yr pace, down from our earlier estimate of 3.5%yr and on par with the RBA's most recent estimate.

The six month annualised pace of core inflation has taken a step down from 3.9% at Q4 2025 to 3.6% at Q1 2026, 3.4% at Q2 and we estimate it to be at a 3.3%yr pace through the second half of the year before heading down through 3%yr around mid-2027.

The moderation in housing inflation is helping to lower core inflation but so too has the softer than expected inflation in market services. We now expect market services ex volatile to be around a 3.3%yr to 3.5%yr pace through the second half of 2026. Just how businesses responded to the recent increase in award/minimum wage rates of pay will be critical to this profile and we will know more as the September quarter data unfolds.

Quarterly forecast inflation profile

		Sep-26	Dec-26	Mar-27	Jun-27
CPI	Index	103.4	104.2	104.9	105.6
	(%qtr)	1.1	0.8	0.6	0.6
	(%yr)	3.7	3.9	3.1	3.2
Trimmed mean	(%qtr)	0.8	0.8	0.8	0.7
	(%yr)	3.5	3.3	3.2	3.1
	(6mth ann'd)	3.3	3.3	3.1	2.9

Source: ABS, Westpac Economics.

Monthly inflation profile

		Apr-26	May-26	Jun-26	Jul-26(f)	Aug-26(f)	Sep-26(f)	Oct-26(f)	Nov-26(f)	Dec-26(f)
CPI	Index	102.8	102.1	102.0	102.9	103.5	103.9	104.1	103.9	105.1
	(%mth)	0.4	-0.7	-0.1	0.8	0.6	0.4	0.2	-0.2	1.1
	(%yr)	4.2	4.0	3.8	3.3	4.0	3.9	4.1	3.9	4.1
Trimmed mean	(%mth)	0.3	0.4	0.3	0.4	0.3	0.2	0.3	0.2	0.2
	(%yr)	3.4	3.6	3.6	3.5	3.6	3.5	3.5	3.4	3.4
	(6mth ann'd)	3.2	3.5	3.5	3.7	3.9	3.8	3.7	3.3	3.2

Source: ABS, Westpac Economics.

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